as per American norms in every city. And comparable wages are quite high." The median salary for a person working in an IT company, as per USCIS is $122,000. However, for a worker on an H-1B visa, various application fees and government filing fees add up to another $35,000-50,000. That makes it cheaper to hire a local worker, provided one is available.

These are some of the challenges in American regulations on H-1B visas over the years. For example, one of the outstanding issues is that H-1B employees are required to make social security contributions but cannot avail themselves of its benefits because the rule requires a minimum stay of 10 years to be eligible and the H-1B visa does not allow the employee to stay beyond six years. This has figured in Indian-American joint statements for long, says Singh. Both sides have acknowledged that it is a critical issue that needs to be resolved. "The USA is benefitting big time from H-1B. They pay taxes, they pay social security...and all the H-1B people don't get the benefit of social security because they don't stay long enough. It's borne by the company which sends them," says Pai.

Tech industry veterans generally feel India's software services industry is currently better placed to withstand any onslaught on H-1B visas than ever before. Especially given that the technology sector worldwide is going through an evolutionary phase right now, accelerated focus being on digitisation with AI tools. "Digitisation today is in demand by everyone," says K.S. Viswanathan, a former Nasscom vice president and now an independent technology consultant. "Post Covid, people realised that work can be done from any part of the world. Secondly, it's not only the Fortune 100 or Fortune 500 companies...millions of small and medium-sized businesses are looking to digitise. And technology is not their core strength, or DNA." No single country alone can supply the volume of digital tech talent this demands, he adds.

INDIAN IT COMPANIES SHOULD USE THE PHASE-OUT TIME TO OPEN A NEW VISTA FOR THEMSELVES AND BECOME GIANTS IN THEIR OWN RIGHT

India is among the largest talent pools in the world, with over 2 million youngsters graduating from Science, Technology, Engineering and Mathematics (STEM) courses every year. "For decades, the US has been the fountainhead of technology-driven innovation. Given the structural shifts taking place in technology, the political and business leadership in America has realised that it needs to attract the best and brightest talent more than ever before and also retain them with an accelerated path to permanent residency," says Ramkumar Ramamoorthy, partner at Catalincs, a growth advisory firm, and former chairman and MD, Cognizant India. "It's also important to note that the changes being discussed—such as increasing minimum salary and annual maintenance costs—are largely to discourage the misuse of the programme by companies for labour arbitrage while sustaining the innovation quotient of the US."

During Trump's first term, when H-1B delays and denials rose sharply because of stricter regulations, top Indian IT companies ramped up local hiring in America. TCS in 2020 claimed to have hired around 20,000 locals over five years. Shivendra Singh cites a 2012-22 Nasscom survey to point out that Indian software companies spend about $1.1 billion on upskilling only in the USA by working with nearly 225,000 employees. They also work with 130 colleges and universities across the USA, impacting 2.9 million students. "The objective behind this whole exercise is to hire locally," says Singh.

Besides, Indian IT companies have tapped opportunities for 'near-shoring' by positioning employees in locations that are in the same time zones as their key markets, or which come under similar regulations. South America, for instance, has emerged as a key 'near-shoring' location to serve the USA along with the rest of the Americas. Alongside, India has emerged as a key destination for global capability centres (GCCs), which are captive units global MNCs manage.

OPPORTUNITY IN CRISIS?

What experts are saying is that while India should fight to retain whatever advantages it gets from H-1B, IT companies should use the phase-out time to open a whole new vista for themselves. There is a growing realisation that the pie that drove profitability of dozens of Indian IT companies, especially in terms of labour arbitrage, is shrinking rapidly and is likely to disappear soon. As one expert put it, "It is a wake-up call to up our game. Indians have largely migrated to the USA to get employment and join the mass slaving class. Few have become CEOs of top companies. Very few have created multi-billion dollars on their own as, say, a Musk has done. This could be the turning point for Indian companies to turn into giants themselves rather than play a supportive role."

Back home, the impending crisis for Indians seeking greener pastures in America should push the Modi government to launch initiatives that can turn India into a global hub of innovation and technology, besides generating more manufacturing jobs. Rather than Indian students flocking to American universities for degrees, these universities could be given incentives to set up bases here. Also being cited as an example is how India lured multinational giant Apple with production-linked incentives to set up manufacturing units in India. Not only is it helping us earn revenue, with India projected to manufacture a third of all iPhones by 2027, it has also helped create jobs for over 100,000 Indians. India must also work on policies to become an alternative to China on the global value chain, which will increase American dependence on Indian manufacturing. Trump's coming may well turn out to be another Covid moment for India—an opportunity to make a quantum leap in reforms and free ourselves from the shackles of dependence. ■

-with Arkamoy Datta Majumdar